

Fearnleys Tanker Market Wrap-up Jan 2025

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Upside risk on sanctions

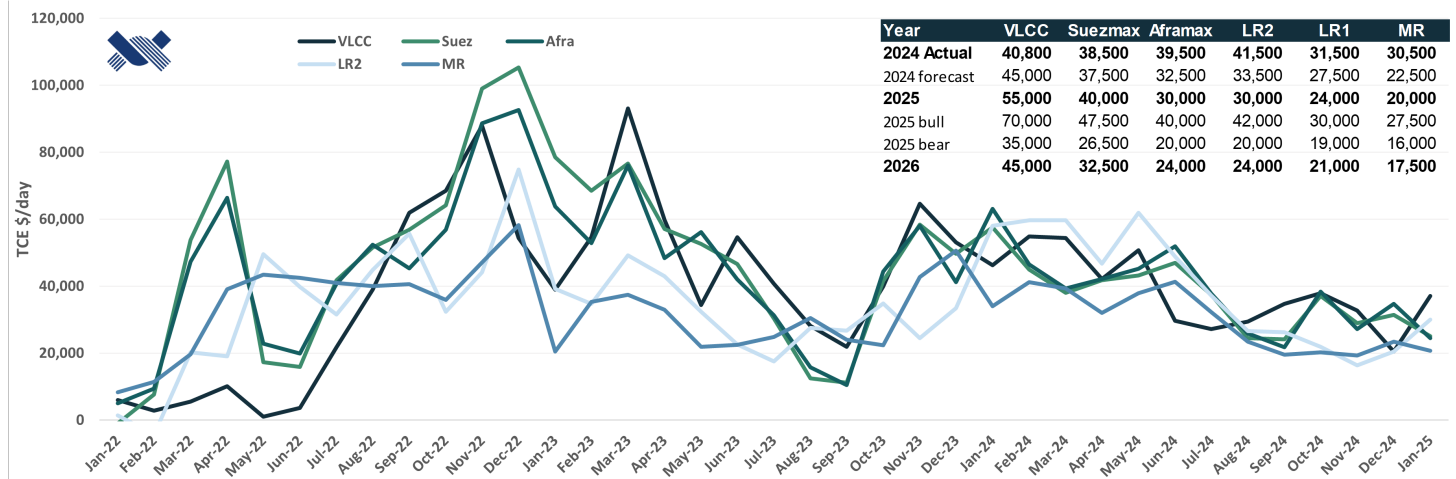
Summary and conclusion

The recent sanction news boosted what had already emerged as a return of some Atlantic-Asia flow, which has contributed to lift rates. Depending on enforcement of sanctions, the tanker market outlook is now firmer than just a month ago, with upside risk to our forecast.

Oil pricing has to a greater extent reflected the recent sanction developments, and with a wide open Atlantic-East arbitrage owners have arguably left some money on the table during the most recent rate slump. At the time of writing, the momentum has firmly shifted up again.

Due to the wind-down period for ongoing voyages and a time-lag in crude sourcing impact, it is still too early to judge the effect that sanctions will have on the market, and the decline in rates following the initial boost is therefore not necessarily anything to go by.

Rates and forecast

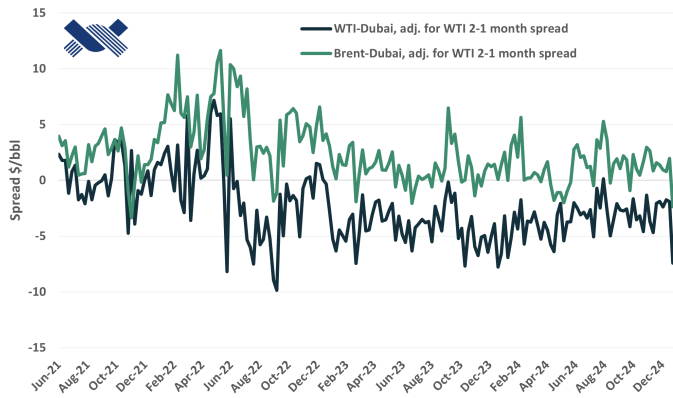


Source: Fearnleys, Baltic Exchange

There has so far been a more meaningful impact on the oil market. Chinese and Indian buyers have scrambled to replace Russian barrels beyond February deliveries. This has led spot premiums for Middle Eastern crude oil to soar, and opened a wide Atlantic - East arbitrage. We expect to see a much higher Atlantic - East cargo count in March than in 2H'24 - reversing the tonne-mile trend and absorbing a vessel overhang.

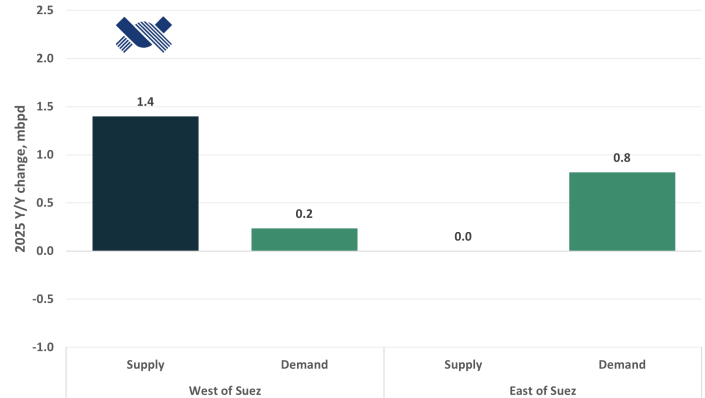
Good thing, then, for oil buyers and tanker owners that there is expectations of plenty of crude oil supply growth this year - mostly from the Atlantic basin, and an increased likelihood that the OPEC+ may unwind some cuts.

WTI-Dubai, adj. for 2-1 month fwd. spread



Source: Bloomberg, IEA

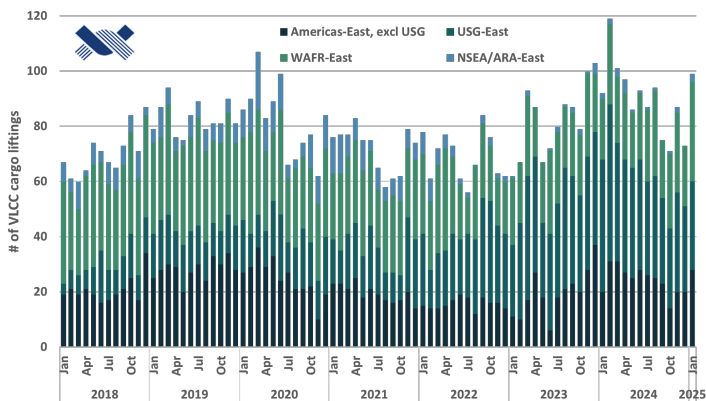
2025 oil supply and demand change



Already toward the end of last year Asian buyers increasingly turned their eyes to the West, and fixing for the first two months of this year shows increased Atlantic-East cargoes vs. the last few months of 2024. More is expected to come, both as seasonal demand in the West dips, to free up more export barrels, and as these Asian buyers have sped up the chase for compliant barrels.

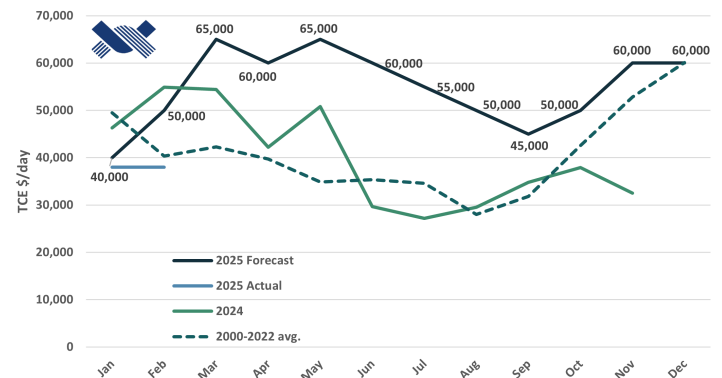
With that, VLCCs rates have recovered and look set to gain more going forward. In January the average MEG-Far East rate, adjusted for the fleet's average speed/consumption, ended at about \$38k/d, slightly shy our \$40k/d forecast. With that, VLCCs have regained pole position - earning the highest TCEs across tanker segments, in line with expectations of relative normalisation. Going forward, there may be upside risk to our forecast curve, especially for crude tankers, if sanctions are enforced and complied with.

Monthly Atlantic VLCC fixtures



Source: Fearnleys

VLCC monthly forecast curve (base case)



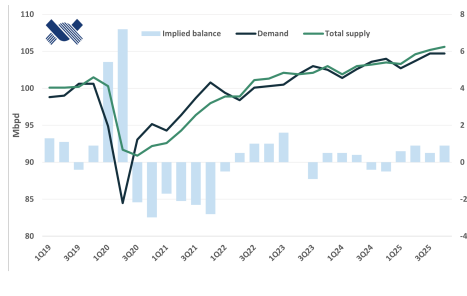
Overall supportive oil market developments

The oil supply expectations for this year have been reduced somewhat in recent months, on lower activity in the U.S. and underwhelming growth in Latin America in 2024. At the same time, oil demand estimates have been revised higher, and with that, the glut of oil that was expected for this year all of a sudden does not look too bad after all.

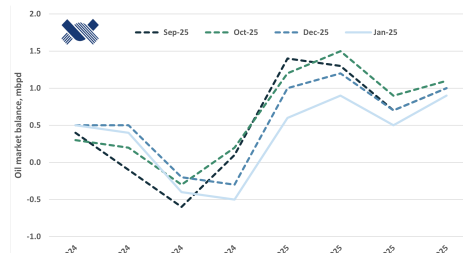
Just four months ago, the IEA predicted a 1.2 mmbpd oversupplied market this year, whilst the latest estimate is 0.7 mmbpd. Add in some further production hickups, pressure on Iran, Russia and Venezuela from sanctions, and all of a sudden there may be a need for the OPEC+ to unwind cuts after all. The forward curves have remained backwardated into this year, even steepening, which suggests the market is a lot tighter than forecast. There is thus some reason to expect that

President Trump may get what he wants, as the consensus currently seems to be that the OPEC+ will follow through with the gradual cut easing from April as planned.

Oil supply vs. demand



Oil market balance, IEA estimate changes



Brent 7-1 month forward spread

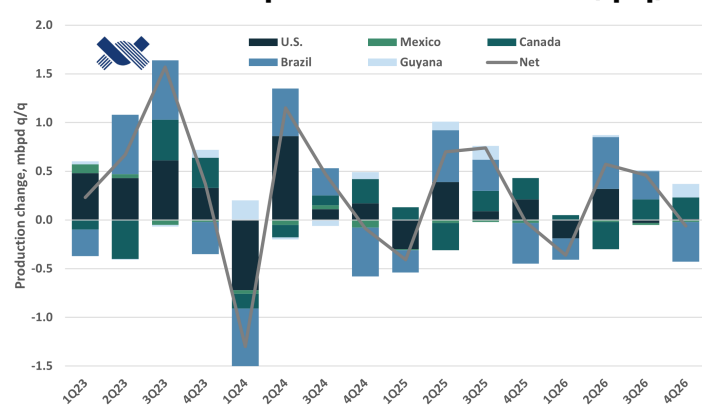


Source: IEA, Bloomberg

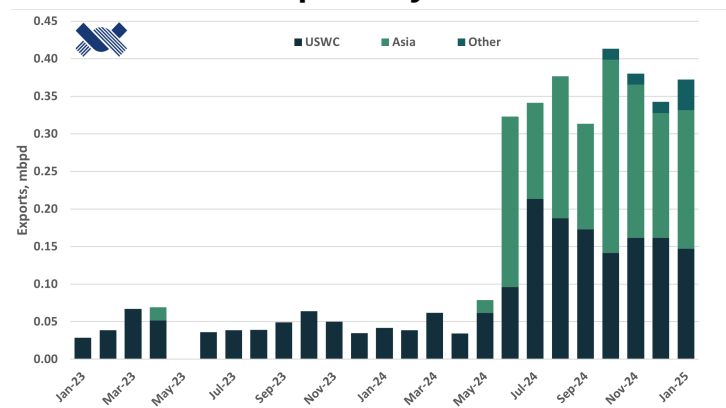
Another deciding factor for the rate trajectory this year is when the four new FPSOs in Brazil and one in Guyana comes online. Three of these are believed to have already sailed from yards in the East which should correspond with the below supply growth expectations from the EIA. This may mean a solid volume boost through the summer, benefiting mostly the largest crude tankers, which also potentially means an atypical seasonal rate pattern this year.

Canada is another question mark. The EIA expects nearly 300 kbpd of production growth this year, mostly in the second half. Much of that will likely go toward filling the remaining capacity of the TransMountain Pipeline, and the delta will likely be headed for Asia. There is realistically little good reason for there to be U.S. Tariffs on Canadian oil, considering that nearly two thirds of U.S. crude oil imports come from Canada - a vital source of heavy crude for blending. Crude quality matters, and if the U.S. would have to replace these imports from elsewhere, it could wreak havoc with the global oil market - let alone the impact of some Canadian production probably having to be shut in as other export options are rare. More likely, if tariffs are in fact implemented, U.S. refinery profitability will soften and/or gasoline prices will rise. Setting tariffs aside, Canada's increasing production should contribute to tanker demand growth this and next year, supporting Afras out of Vancouver and partly VLs through STS in PAL.

Americas crude production increase (q/q)



TransMountain exports by destination



Source: EIA, Vortexa

Russia's response to the recent sanctions may also set the pace for the market going forward. Amid some confusion so far, there are some price points which suggest that exports will largely continue to flow - and contribute to tightening the (compliant) Aframax market.

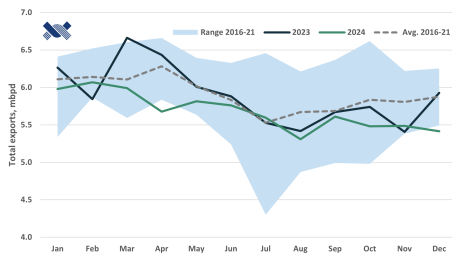
Russia's Eastern exports are on paper those which will be affected the most, as the now-sanctioned vessels covered nearly two thirds of last year's liftings. For the Baltic and Black Sea only 23% and 34% of last year's liftings were covered

by these vessels. Rates have also responded the most in the East, with some exorbitant Kozmino numbers reported. That will lure in new unsanctioned tonnage, which in turn may leave a gap for Russian Western exports. We have seen a number of SnP transactions for 15+ years old Aframaxes at 10-20% higher than last done prices, which suggests a replacement process has already begun.

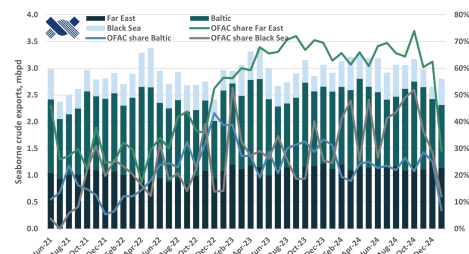
The Urals price has also responded, reportedly declining to about the G7 price cap - which may at least through a transition period also be necessary for Russia be able to uphold exports at decent levels. Last year, total Russian exports declined by 220 kbpd from the preceding year, mostly for products after Ukrainian refinery attacks, and there may be some downside risk this year too. According to Bloomberg, Ukrainian drones have struck pumping stations to Ust-Luga, where loadings in January have declined by about 300 kbpd from last year.

For the broader OFAC listed fleet, it is worth reiterating that 80% of its discharges last year were into areas that have explicitly said these ships are no longer welcome. As long as this 'ban' is upheld, and the U.S. enforces sanctions, the impact on the tanker market should be significant. In turn, the lower oil prices are, the more likely it is that the U.S. will be hawkish on Russia, Iran and Venezuela.

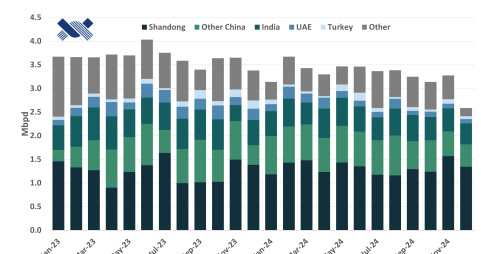
Russia total seaborne exports



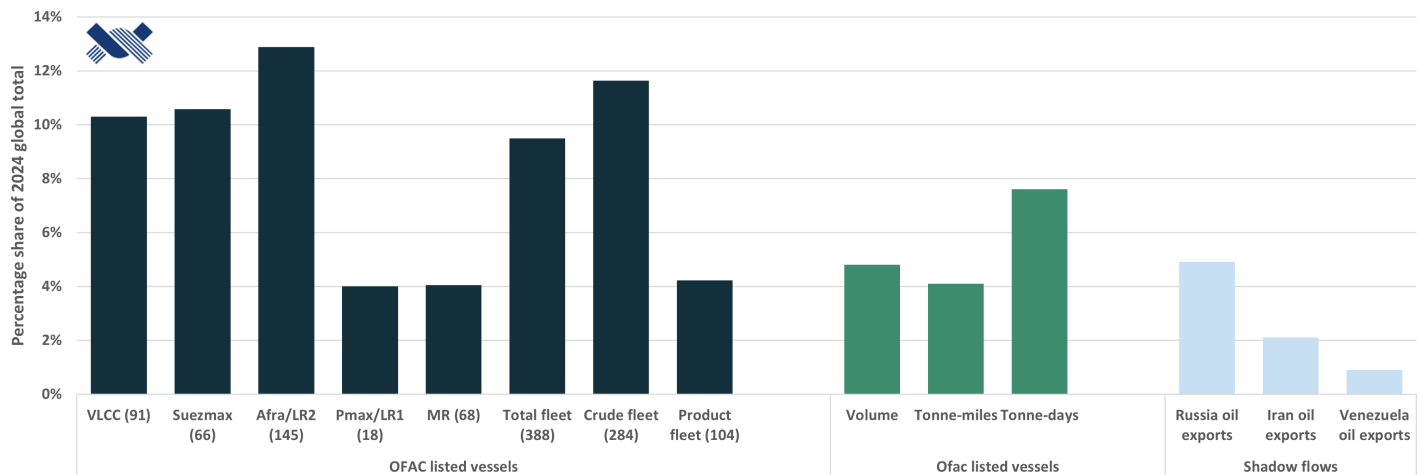
Russia crude exports by area & OFAC share



OFAC listed vessels flow by destination



OFAC ships' share of 2024 totals



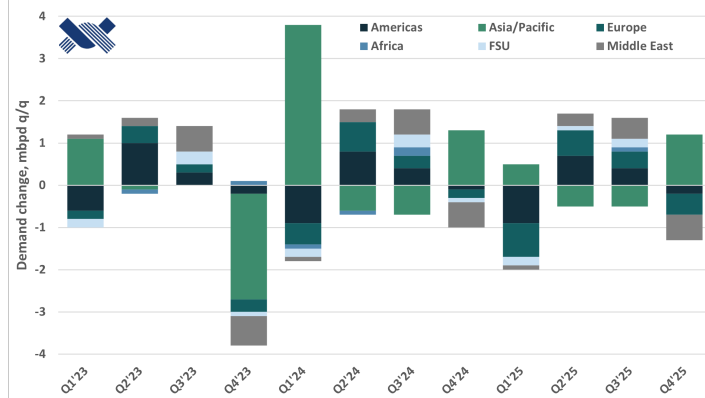
Source: Vortexa, OFAC

Other than reversal of geopolitically linked trade diversion, the biggest downside risk for the tanker market this year is on the oil demand side. Current crack spreads in Asia are not great with some run cuts being suggested, and there is diverging macro data from key countries in the region.

On the one hand, housing data in China have improved somewhat in recent months and prospective stimulus has added to some potential for optimism, while at the same time January industrial PMIs were back in contractionary territory for the first time in three months. A stronger U.S. Dollar certainly does not boost buying interest, all else equal, neither does tariff threats.

Oil demand has surprised to the upside in the West recently, and Trump's proposed SPR refill may add to that going forward. From a tanker demand perspective, that may eat into potential for West-East trade. For now, oil pricing works against storage builds, and rather the sanctioned barrel replacement is the name of the game.

Quarterly oil demand change by region



Source: IEA, Bloomberg

Brent oil price in Chinese Renminbi



Refinery margins keeping some arbs alive, for now...

Refinery margins globally have come down to more normalised levels through the last six months, although some pockets of strength remain offering some trade opportunities - particularly for diesel in the West. A potential loss of the third and fourth biggest refineries in Russia may underpin these in the near term, but otherwise, barring new disruptions, this year may continue to show more normalised profitability.

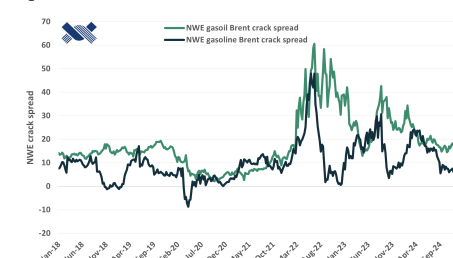
The weakness in Asian margins recently has led to frontloading of maintenance and some economic run cuts. Chinese independent refiners lose competitiveness when sanctioned barrels are no longer as easily available, and run cuts are likely - although much of this downside is expected to be compensated by state-owned refiners.

The price and refining landscape suggests lower product tanker demand growth this year, and generally less arbitrages and trade opportunities available - factors which have contributed to some of the extraordinary rate strength in recent years.

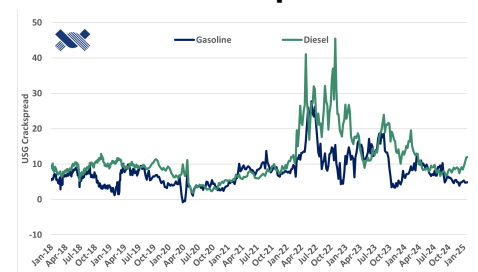
China crack spreads



NorthWest Europe crack spreads



U.S. Gulf Crack Spreads



Source: Argus, Bloomberg, EIA

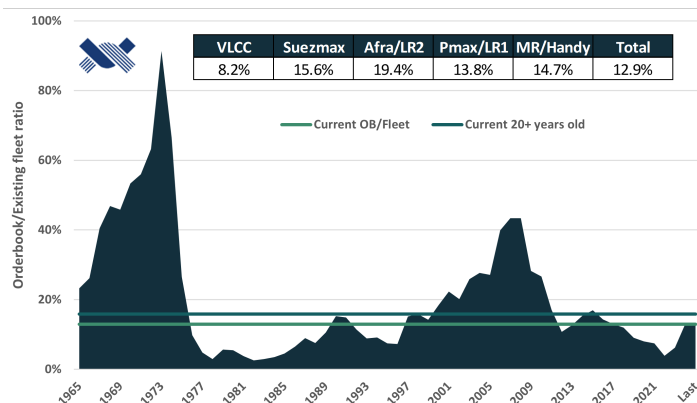
Low-ish fleet growth for the foreseeable future

The orderbook to fleet has hardly grown over the last few months, with the recent dip in sentiment and secondhand values taking its toll on newbuild interest. Orders will return in time, but for now there may be a breather.

For context, the 12.9% orderbook to fleet stands against 9.5% of the fleet currently on the OFAC's black list and 15.9% of the fleet already being 20+ years old. Another 4.3% of the fleet turns 20 this year, and 3.6% next year. Assuming that the vast majority of these are semi-obsolete and will in one form or another be increasingly phased out, more ordering is needed - especially if tanker demand continues to grow like it most likely will.

We expect the slower ordering pace to persist near-term - at least unless or until secondhand values rise meaningfully or newbuild prices come down. The latter does not seem very likely in the near term due to yards' very comfortable order backlogs.

Orderbook to fleet

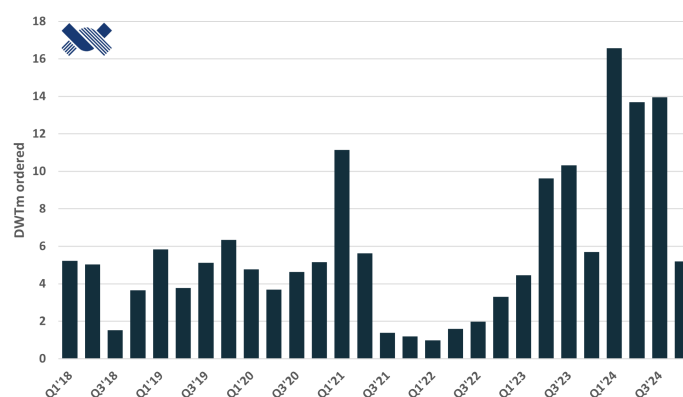


Source: Fearnleys

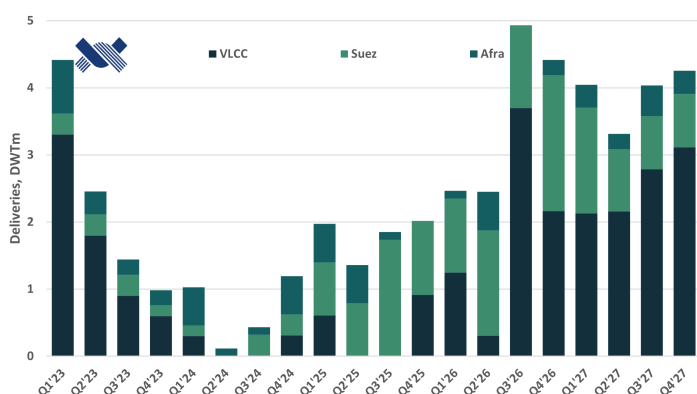
Although gross fleet growth picks up this year, deliveries are scheduled to remain low through the first half with only one third of the year's deliveries pencilled in. Total scheduled deliveries amount to 3% vs. the fleet, up from only 1% last year, but mostly tilted toward product tankers at 6.1%, vs. crude at 1.7%.

Given the extensive sanctions and new regulations, net fleet growth for crude is likely to effectively be well below zero, whilst for products there may still be growth of some 3-4%.

Ordering by quarter

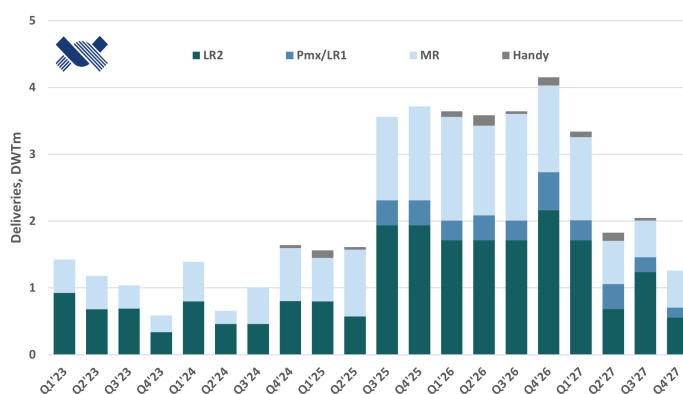


Crude tanker deliveries by quarter



Source: Fearnleys

Product tanker deliveries by quarter



Values may be about to find support again

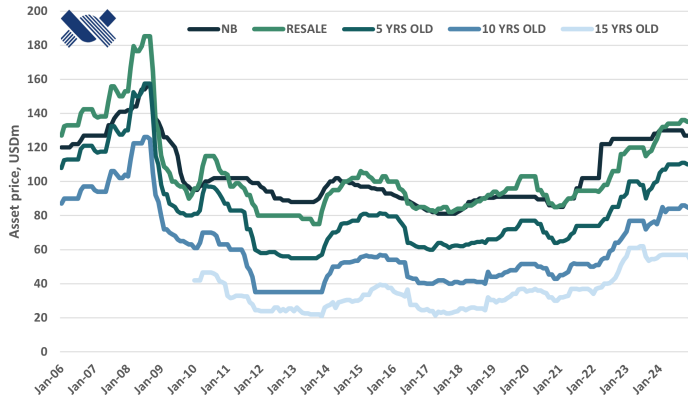
Values have generally corrected a bit to the downside in recent months, on softer TC rates. The biggest downside has been seen for the segments which outperformed the most over the past two years, namely Afra and MRs - and the older

end of the asset curve has seen the biggest slide.

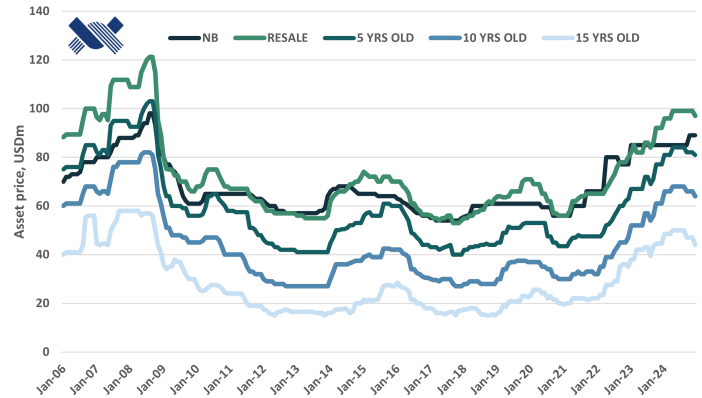
The latter has reversed over the last two weeks, with a renewed bid from players seeking to replenish the Russia trading fleet. If sanctions are upheld, and more importantly enforced, there may be more to come here too.

For modern assets there is still a relatively wide bid/ask spread and as a result few transactions. That said, the rout may have stopped. At current TC rates, which seem to have found a floor, most recent value estimates should on paper be well supported. With upside risk to TC rates re. our forecast, especially for crude tankers, there may even be some upside potential.

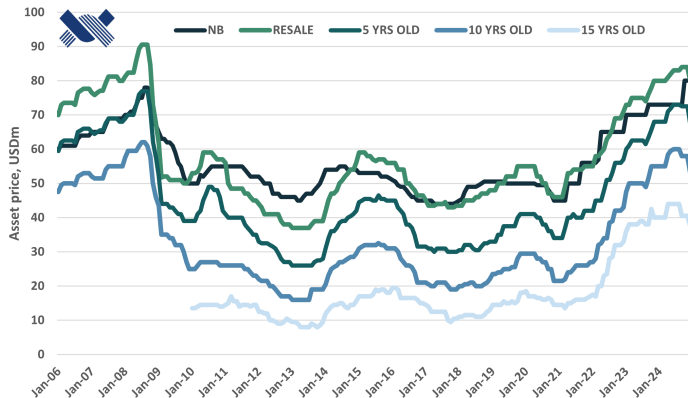
VLCC values



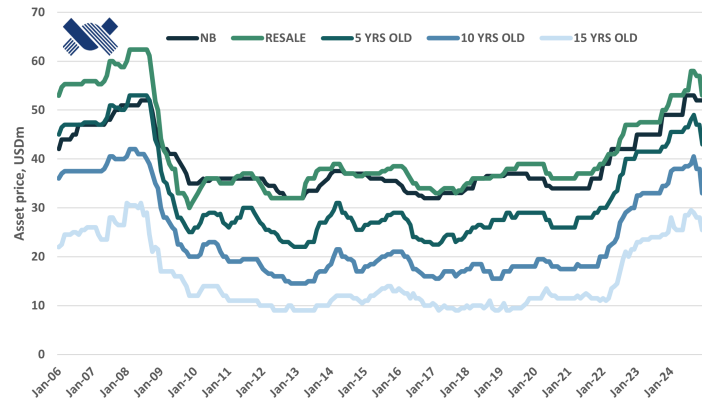
Suezmax values



Aframax values



MR values



Source: Fearnleys



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